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Recycling with the Best

Weekly Ship Recycling Report

24 August - 30 August 2024

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Highlights of the week

This week, the ship recycling markets across the major destinations continued to face a challenging environment. In India, the market remains sluggish with low demand and limited tonnage availability, and no signs of recovery expected until after the monsoon season. Bangladesh is experiencing similar issues, with hesitant buyers and a cautious market approach contributing to the ongoing slump. Pakistan's market has been subdued due to market closures from strikes, holidays, and monsoon rains, keeping buyer interest minimal. In Türkiye, while conditions are stable, negative sentiment and limited vessel offerings continue to weigh on the market, prolonging the downturn.

Ship recycling activity remains subdued as shipowners opt to keep older vessels in operation rather than recycling them, driven by high market rates and profitability. Geopolitical factors, including Russian sanctions and strong demand for seasoned ships, have further dampened interest in recycling, particularly in the tanker and gas sectors. Despite some fluctuations, overall recycling levels have significantly declined, reflecting a broader trend where maintaining older vessels is more profitable, reshaping the dynamics of the ship recycling industry.

Note: Dear Readers, To enhance your experience, we are now offering the option to receive our reports via WhatsApp in addition to email. If you prefer to receive your reports through WhatsApp, please inform us, and we will add you to our WhatsApp broadcasting list for more immediate access.

Exchange Rates:

USD / INR ₹

This Week	: 83.84
Previous Week	: 83.85
Gained	: 0.01

USD / BDT ৳

This Week	: 119.57
Previous Week	: 119.55
Lost	: 0.02

USD / PKR Rs

This Week	: 278.49
Previous Week	: 278.92
Gained	: 0.43

USD / TRY ₺

This Week	: 34.06
Previous Week	: 33.99
Lost	: 0.07

India

Market outlook remains bleak amid low demand and ongoing monsoon disruptions.

- The market continues its prolonged slump with no signs of recovery, as demand remains low and tonnage is unavailable. The situation is expected to stay negative until the end of the monsoon season.

- Heavy rainfall, particularly in Gujarat, has halted construction activities, which is further impacting steel prospects and exacerbating the market's challenges. The ongoing monsoon conditions are likely to maintain this negative trend for the foreseeable future.

- India is under pressure as one-third of its steel imports come from China, pushing the trade deficit to ₹11,592 crore in April-July, a 30% rise from FY24. The government is reassessing import restrictions on raw materials for steelmaking to balance industry needs with global trade. These restrictions have sparked debates over their impact on raw material supply and production costs, prompting discussions on possible policy adjustments.

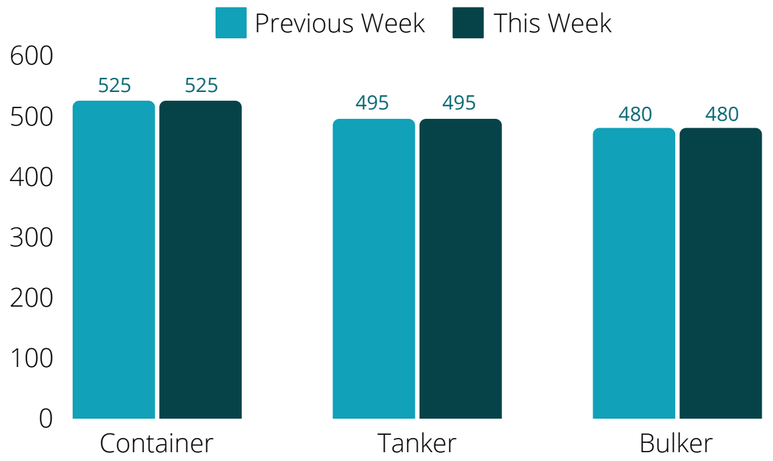
Beaching Dates

31 August to 06 September 2024

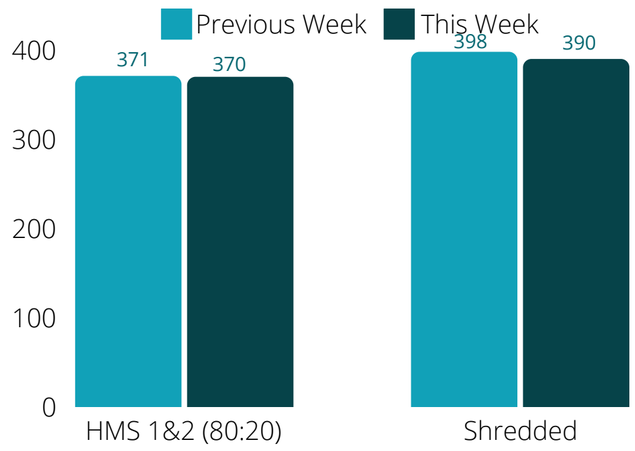
15 September to 24 September 2024

03 October to 08 October 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

Market decline persists as cautious buyers and low demand shape the uncertain landscape

- The market continues its downward trend, experiencing significant declines, with the local steel market also struggling under similar conditions. Market participants are largely adopting a cautious approach, closely observing the situation over the next one to two months.

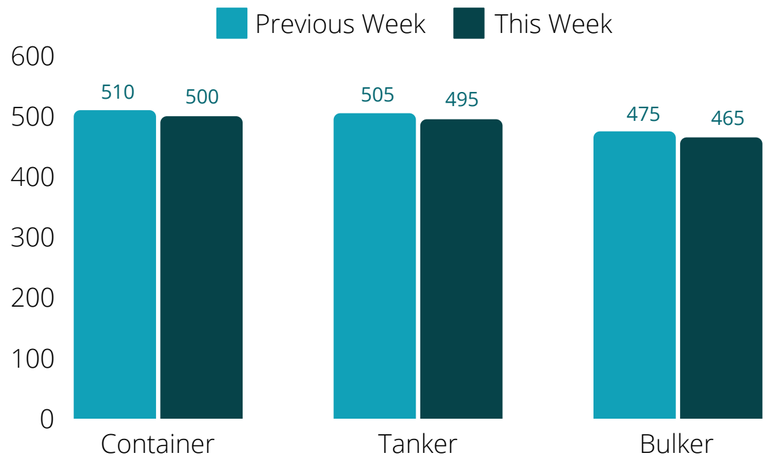
- Currently, there are very few buyers in the market, and those present are not aggressive, opting instead to offer lower prices. This lack of demand and the careful stance of participants reflect the uncertain market conditions, contributing to the prolonged slump in overall activity.

- The Bangladesh Bank has raised its policy rate by 50 basis points to 9% to address high inflation, marking the third increase in the key interest rate this year.

Beaching Dates

17 September to 20 September
01 October to 04 October
16 October to 19 October

Price for Recycling Ships in Bangladesh



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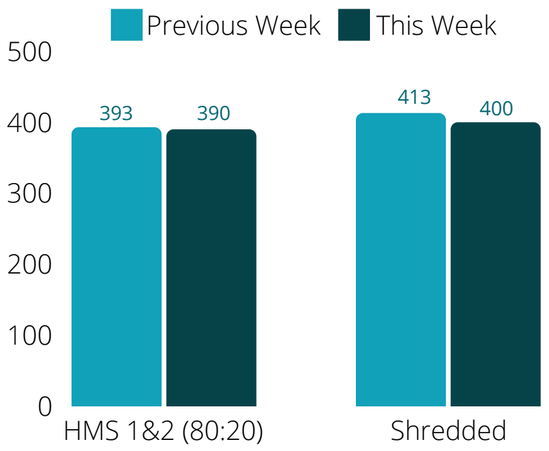


Pakistan

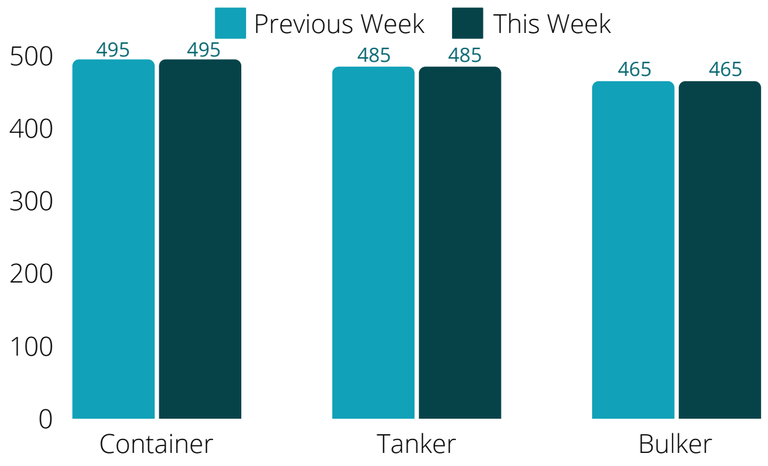
Weak demand, declining steel prices, and frequent disruptions keep the market in a prolonged slump.

- The Pakistan ship recycling market remains subdued, impacted by recent market closures due to holidays, strikes, and monsoon rains.

- Weak demand and ongoing uncertainty are reflected in the lack of interest in tonnage, keeping the market in a prolonged slump. With buyers hesitant and no clear signs of improvement, the sector continues to struggle under persistent challenges, showing little hope for a near-term recovery.

- Traders in Pakistan shut down businesses in major cities to protest rising electricity costs and new taxes on shop owners. The government has been steadily increasing electricity prices since securing a USD 7 billion loan agreement with the International Monetary Fund last month.

Price for Recycling Ships in Pakistan



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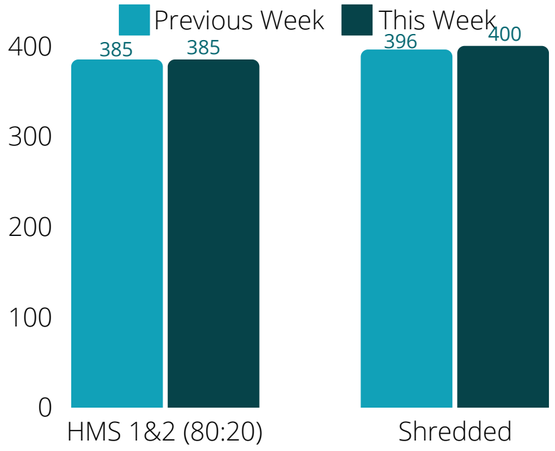


Beaching Dates

Throughout the month

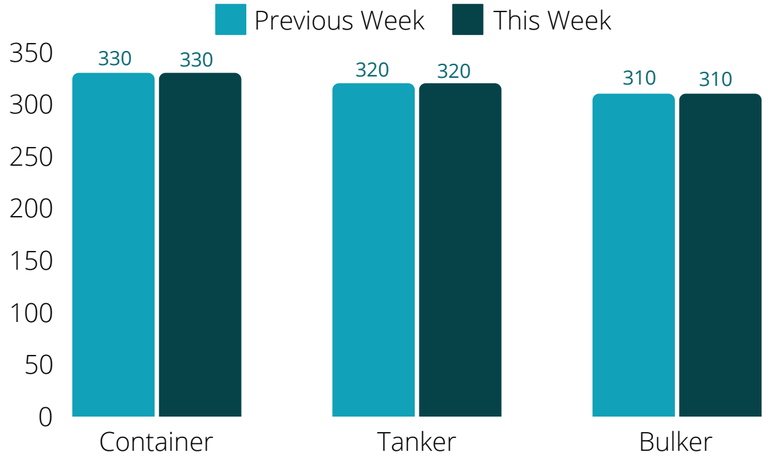
Türkiye

Market remains steady but weighed down by negative sentiment and vessel shortage.

- The market remains stable; however, sentiment continues to be overwhelmingly negative. In recent months, the ongoing shortage of vessel offerings has clearly highlighted the underlying problems that continue to weigh heavily on the market, keeping it in a prolonged slump.

- The IMF views Türkiye's recent economic policies positively, noting reduced crisis risks and improved confidence. It projects lower inflation and stable growth in 2024 and 2025 despite some external risks.

Price for Recycling Ships in Türkiye



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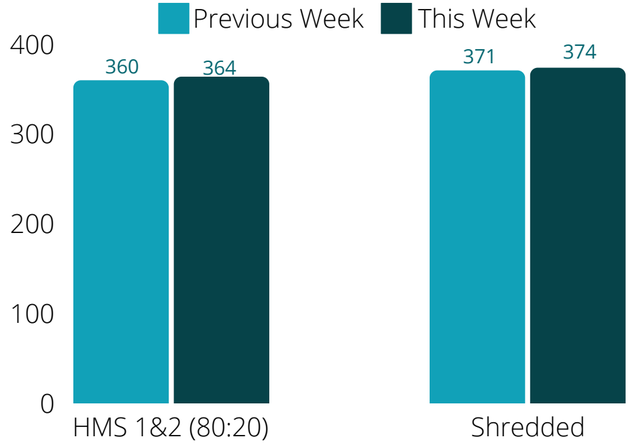
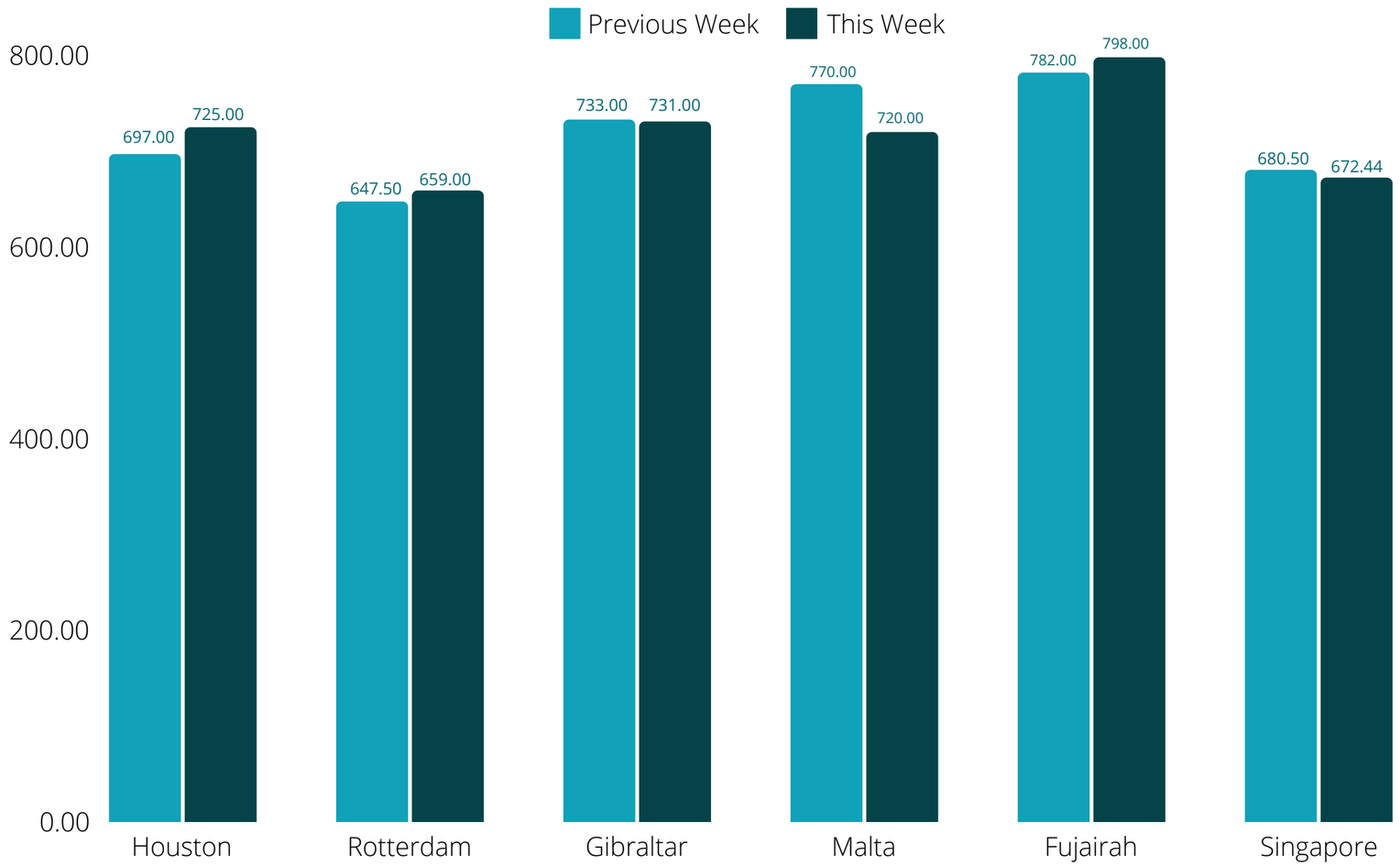


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 78.63
Previous Week	: 76.35
Movement	: +2.28

WTI Crude

This Week	: 74.06
Previous Week	: 72.11
Movement	: +1.95

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
HONG DA XIN 7	GENERAL CARGO SHIP	1067287	2008	CHINA	4,296	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
DRAGO	CEMENT CARRIER	8502420	1986	SOUTH KOREA	2,314	DELIVERED	CHITTAGONG,BANGLADESH	468
MEDELIN EXPO	TANKER	9062702	1993	JAPAN	5,270	AS-IS	BELAWAN, INDONESIA	650

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